

Silver Market Nine-Driver “Perfect Storm” Framework

Updated Summary — As of 4 September 2026

The nine-driver framework remains intact and structurally bullish. It explains the multi-year secular advance in silver despite short-term volatility, sharp intraweek swings, and macro-driven consolidation. This update folds in developments through early September 2026, including the licensing/import picture, four weeks of COT data, the Treasury buyback mechanics, and Fed Chair Kevin Warsh’s Jackson Hole speech.

1. COMEX Registered & Eligible Drain + Bypass Flows

Persistent net outflows from COMEX warehouses to industrial users and Asia. Registered silver was ~86 million ounces as of mid-June, historically tight. No material reversal identified since.

2. SHFE Critically Low Deliverable Stocks

Shanghai stocks remained well below long-term averages (~868 tonnes / ~27.9 million ounces as of mid-June). Sustained backwardation and East-West arbitrage premium continue.

3. RBI Silver Collateral Monetisation Policy

Fully operative since 1 April 2026. Allows banks and NBFCs to accept silver jewellery, coins, and ornaments as loan collateral, unlocking household holdings and supporting domestic demand.

Update — India import licensing bottleneck (May–August 2026): A separate but interacting constraint. India imposed silver import licensing in May 2026 to preserve forex reserves, collapsing shipments from 747 tonnes in January to ~29 tonnes in June. The domestic premium widened from \$0.10/oz in early June to a peak of \$6.30 by early July. Licenses began releasing through the India International Bullion Exchange (IIBX) in August, ~90 tonnes shipped that month, ~400 tonnes of licenses approved cumulatively, and the premium narrowed to a 30-day average of ~\$4/oz. A new origin-certification requirement (proof of country of production) is adding customs friction even for approved license-holders, so flow remains well below the pre-May run rate heading into wedding/festival season. Net effect: the India tightness driver is easing at the margin but remains structurally

live, and continues to support SILVERCASE's domestic premium mechanics.

Separately, silver jewellery imports (HSN 7113) remain 'Restricted' through 31 March 2026, requiring DGFT licensing, imposed after a tenfold surge in Thailand-routed FTA-arbitrage imports in 2025.

4. ALMM-2 Solar Module Mandate

Effective 1 June 2026. Requires domestic sourcing of solar cells for government-backed projects, resulting in higher silver intensity near-term due to older-generation cell technology. (Forward marker: ALMM List III extension to wafers and ingots effective June 2028 — tracked milestone, not yet active.)

5. Chinese VAT Rebate Removal on PV Exports + Position Limits

Fully operative since 1 April 2026. Front-loading phase complete; domestic Chinese inventories protected. Supports strong internal solar demand.

6. Mexican Supply Frictions

Ongoing cartel-related violence and extortion continue to raise costs and constrain incremental mine production. No meaningful new supply response observed.

7. SEBI ETF/Mutual Fund Valuation & Allocation Circulars

Fully operative since 1 April 2026. Requires valuation based on MCX-polled domestic prices. Supports institutional demand and maintains the Indian domestic premium (beneficial for SILVERCASE ETF).

8. Geopolitical Risk Premium (Strait of Hormuz Disruption)

Ongoing disruption with fluctuating intensity, reinforced through August by Israeli strikes on Lebanon and hardening US-Iran rhetoric (new sanctions, stalled truce). Provides sustained safe-haven and energy-price shock support, though markets show some adaptation/fatigue between flare-ups.

9. Stagflation / Monetary-System Stress Premium (Expanded)

This driver now has the most active development of the nine and is split into sub-threads below.

9a. Fed policy stance — Warsh's Jackson Hole speech (28 August 2026). No rate decision or forward guidance was given — Warsh explicitly argued forward guidance creates a "hall-of-mirrors problem" and declined to offer a reaction function. Substance was hawkish: PCE inflation at 3.7% YoY / 4.1% over six months, both above target; financial

conditions described as loose, not restrictive (cap-ex +9%, corporate profits +20% YoY, tight credit spreads, easing loan standards); labor market called consistent with full employment, shifting Fed focus to prices. On unconventional policy: "should be used sparingly, if at all" — a high bar and a stated reluctance, not a hard ban. Net market read: hawkish reframe, dollar and yields firmed, silver round-tripped roughly 5–7% from an intraday high near \$70 down to the \$66–67 zone in the following session. Key learning: the speech notably omitted any mention of the \$40T debt level, private credit risk, or market concentration risk — a selective-emphasis choice worth tracking as a marker of the Fed's current blind spots or deliberate non-engagement.

9b. Treasury buyback program and long-end demand fragility. Treasury doubled maximum buyback size from \$2B to \$4B+ for 10–20yr and 20–30yr sectors, effective 9 September 2026 through the 4 November refunding quarter end (up to ~\$128B annualized, ~2.4% of outstanding market debt in those maturities — Natixis estimate). This is a fiscal-side liquidity/market-microstructure operation (Treasury retiring old illiquid bonds using proceeds from new issuance), not monetary expansion — no Fed balance sheet involvement. Effect was temporary: 30Y yield initially dipped toward 5.20–5.25% then reversed back above 5.27% within 24 hours, indicating the underlying demand problem (weak indirect/dealer appetite) was not resolved by the operation itself.

9c. Auction demand quality deteriorating at the long end. Most recent 30Y auction: bid-to-cover 2.39, primary dealers absorbing 11.5% of issuance (both weaker than 12-month average), awarded yield above pre-auction when-issued level. Primary dealers absorbing more than usual signals the voluntary buyer base (funds, foreign accounts) under-showed, forcing obligated dealers to hold more inventory, which then pressures secondary-market prices further.

9d. Buyer-base composition shift — sovereigns to price-sensitive private capital. Official foreign holders (central banks, sovereign wealth funds) now hold ~12% of outstanding Treasuries, down from ~40% post-2008 — mostly a share story, not active selling: official holdings have stayed broadly flat in dollar terms (~\$4T) while total debt surged to ~\$40T, so the passive de-weighting is sovereigns not growing exposure at pace with issuance, not a dumping campaign. Fed custody holdings for foreign official institutions hit their lowest level of the year (down \$100B since April). The gap is being filled by foreign private investors (~\$7T, exceeding foreign official holdings) and US domestic institutions (banks, pensions, insurers, funds) absorbing ~\$10B/day of net new issuance in H2 2026. This new buyer base is more price-sensitive and less "sticky" than the central banks it is replacing — a structural fragility.

9e. Debt-service math (CBO baseline, not a stress scenario). Net interest: \$1.0T (3.3% of GDP) in FY2026, already above the prior post-WWII high of 3.2% (1991). Rising to \$2.1T by 2036, \$6.6T by 2056. Interest exceeds Medicare spending from FY2028 and becomes

the single largest federal outlay by FY2048. Interest as % of federal revenue: 18.6% now, rising to 25.8% by 2036. Debt/GDP: 101% now, rising to 120% by 2036 (vs. 106% WWII peak). These are agency baseline projections, not tail-risk scenarios.

9f. Fiscal correction pathways are all politically constrained. Tax increases: growth-negative given the US's consumption-driven GDP composition (~68–70% of GDP is consumer spending) and thin manufacturing base to redirect activity into. Spending cuts: DOGE's initial effort (targeting ~\$2T) saw real but reduced impact, high turnover, legal challenges, and was effectively reversed — the 2025 reconciliation act added \$4.7T to CBO deficit projections rather than reducing it; mandatory spending (Social Security, Medicare) remains politically untouchable. Growth-out: current cap-ex/profit strength (Warsh's own cited figures) is real but narrowly concentrated in a handful of AI/frontier-tech firms, not translating proportionally into broad employment or tax-base growth — market-cap concentration and tax-base concentration are diverging. Documented education-quality decline (NAEP scores) and tightened STEM immigration pathways further constrain the human-capital growth lever. Conclusion: all three conventional off-ramps are heavily constrained by current political and structural conditions, making continued debt/interest growth the highest-probability baseline path over the investment horizon — not a mathematical certainty, but a well-evidenced base case per CBO's own numbers.

9g. Reserve diversification vs. trade-settlement dominance — key distinction (new, 4 Sept 2026). These are separable phenomena with different switching costs and should not be assumed to move in lockstep:

- *Reserve diversification* (central banks adding gold) is accelerating and well-documented: ~1,200+ tonnes bought in 2025, 244 tonnes in Q1 2026 alone, against a pre-2022 average of ~500 tonnes/year. WGC survey: 45% of central banks plan to add more gold in the next 12 months (up from 29% two years ago). RBI added 145 tonnes in 2025 explicitly to reduce dollar reserve share. Turning point widely cited: the 2022 Russia reserve freeze (~\$300B), which reframed dollar-denominated reserves as subject to political weaponization risk.
- *Trade-settlement dominance* is far stickier due to network effects, liquidity depth, and existing infrastructure (SWIFT, correspondent banking, dollar-denominated commodity contracts). Precedent: the dollar debased continuously and substantially from 1971–1981 and again post-2020 without a proportional loss of trade-invoicing share (still ~88% of FX transactions).
- Current alternative payment infrastructure is real but too small and fragmented to threaten a “cliff” in dollar trade share: mBridge has processed ~\$55.5B cumulative since 2022 (a 2,500x increase off a small base, but still a fraction of an hour of daily global FX turnover of ~\$7.5–9T). The SCO Development Bank remains pre-operational as of the most recent (2026) summit cycle — structure and membership still unsettled, with at

least one key member reportedly less motivated than others. The broader picture (per Atlantic Council/BIS tracking) is a fragmented patchwork of bilateral and bloc-specific corridors that do not converge into a single alternative rail — the BIS’s own withdrawal from mBridge in favor of the separate G7-aligned Agorá project is illustrative of this fragmentation, not convergence.

- **Implication:** this supports gradual dollar erosion as the base case over “sudden collapse” on the trade-settlement side, while reserve diversification (gold accumulation) can and likely will continue accelerating independently and faster than trade infrastructure could ever shift.
- **Important counter-consideration:** gold-as-reserve-insurance is not immune to weaponization risk itself. Gold reserves typically require monetization (sale into dollars) through Western-linked bullion markets and correspondent banking to be usable for trade — if that monetization pathway is itself restricted, gold becomes a stranded reserve rather than a functional escape hatch. This is a live vulnerability in the “gold as insurance” thesis that doesn’t show up in gold-accumulation statistics, which measure stockpiling, not usability under stress.

COT Positioning Series (Disaggregated, Managed Money Net Long, Silver)

Positions as of	Managed Money Net Long	% of Open Interest	WoW Change
28 Jul → 4 Aug	11,974	~10.5%	—
4 Aug → 11 Aug	11,158	9.7%	–816
11 Aug → 18 Aug	11,695	—	+537
18 Aug → 25 Aug	14,073	—	+2,378

Reading: three weeks of flat, non-crowded positioning (11,000–12,000 range) gave way to the first real acceleration in the week of Aug 25, driven by fresh long additions (not just short-covering) as price ran toward \$70. This print predates the Warsh speech and the subsequent \$70→\$66 reversal — the next print (positions as of 1 Sept, released 4 Sept) is the key data point to determine whether the newly-built length was flushed by the hawkish repricing or held. A legacy-format cross-check for the same week (25 Aug) showed Large Speculators — a broader category combining managed money with other reportables — net long 25,261, up ~1,636 WoW on short-covering, alongside a sharp 6,316-contract drop in open interest (net de-risking in aggregate even as relative long positioning increased).

Standing reassessment trigger: rapid spike toward 40–50k+ net long contracts. Current

levels remain well below this threshold even after the late-August acceleration.

Price Action Context (August 2026)

Silver ran from a July 17 low near \$55 to nearly \$70 by August 27, before Warsh's Jackson Hole speech triggered a hawkish repricing that pulled spot back to the \$66–67 zone within 24–48 hours — a ~5–7% single-session round-trip. This zone had already held as support once earlier in August (mid-August low ~\$65.50–65.90), and technical readers flag a close below ~\$60 as the level that would meaningfully threaten the broader recovery structure dated from the July low. USDJPY concurrently pushed back toward ~159.5–160, keeping the yen carry-trade dynamic (part of Driver 9's broader monetary-stress complex) fully live alongside BoJ rate-hike pressure from a five-month inflation high in Tokyo.

Net Assessment

The framework remains intact. Drivers 1–7 (physical/institutional demand) show no material deterioration and in India's case (Driver 3-adjacent) are easing only at the margin while remaining structurally tight into wedding season. Driver 8 remains a live, fluctuating geopolitical premium. Driver 9 is the most actively developing thread: near-term, Fed hawkishness (Warsh) and rising real yields are a genuine headwind; structurally, the debt-service math, buyer-base fragility, and constrained fiscal off-ramps continue to support the long-horizon monetary-debasement case, now made more precise by separating reserve-diversification dynamics (accelerating) from trade-settlement dynamics (sticky, gradual). No change to the existing hold-to-2034-or-\$300 exit discipline is indicated by anything reviewed in this update.

Prepared as a working update to the 21 June 2026 baseline document. Sourcing: CFTC/metalcharts.org COT data, CBO budget projections, Federal Reserve (Warsh, Jackson Hole 28 Aug 2026), Treasury refunding announcements, World Gold Council surveys, Atlantic Council CBDC tracker, Business Standard/Metals Focus import data.